

US TMT Sector M&A & Valuation Brief - 2026-07-02

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Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by a resurgence in IPO activity and strategic acquisitions, particularly in the software and AI subsectors. Overall sentiment remains cautiously optimistic, driven by technological advancements and a recovering IPO market, despite challenges posed by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is experiencing significant momentum, highlighted by Bending Spoons' recent IPO, which priced at \$29 per share, raising \$1.68 billion. This reflects a strong demand for software offerings amid a competitive landscape influenced by AI.
- **Media:** The media sector is adapting to digital transformation, with companies like Vimeo (VMEQ) under Bending Spoons focusing on enhancing user engagement through innovative features. However, traditional media continues to face headwinds from digital disruption.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, although it remains challenged by regulatory pressures and market saturation.
- **Fintech:** The fintech space is thriving, driven by new business models and partnerships. The consolidation trend is evident, with companies actively seeking to enhance their market positions through strategic acquisitions.
- **AI:** The AI subsector is booming, with companies racing to implement AI solutions across various industries. Salesforce (CRM) is actively building an enterprise AI operating layer through strategic acquisitions, positioning itself as a leader in this space.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud computing is driving growth across TMT sectors. For instance, Bending Spoons' strategy of acquiring underperforming software businesses aligns with the trend of leveraging technology for operational efficiency.
- **IPO Market Recovery:** The resurgence in IPO activity, exemplified by Bending Spoons and SpaceX's recent offerings, indicates renewed investor interest in tech stocks, providing a positive outlook for the sector.

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Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can impact deal timelines.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is experiencing robust growth, with Bending Spoons' IPO underscoring investor confidence in software companies. The focus on AI integration is expected to drive further demand.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend is evident as companies seek to enhance their competitive positions.
- **AI:** The AI subsector is booming, with applications across various industries. Salesforce's acquisition strategy illustrates the growing importance of AI capabilities in maintaining competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative impact of AI. A recent analyst noted, "The integration of AI across industries is not just a

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trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is vibrant, characterized by a mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Nexchip Semiconductor (688249.SS)** : Nexchip is seeking to raise up to \$890 million in a Hong Kong share sale, with trading expected to begin on July 10, 2025. This dual listing will enhance its access to international capital, crucial for its expansion plans, including a significant investment in a new facility aimed at producing 55,000 wafers per month.
- **Baidu's Kunlunxin** : Baidu's AI chip unit is targeting a \$50 billion IPO in Hong Kong, with a unique requirement for investors to commit to purchasing its semiconductors. This unusual strategy aims to secure both funding and customer commitments, with the IPO filing having occurred confidentially in January 2025.

Mandated Deals:

- **KVIC** : The South Korean venture capital firm is actively courting Indian venture funds as part of a more structured investment strategy in deep tech, semiconductors, and AI. This initiative aims to enhance collaboration and investment flows between South Korea and India, with a focus on

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innovative startups.

Pitching-Stage Deals:

- Telecom Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), for potential M&A opportunities in the 5G space. Pitches are expected to finalize by Q3 2025, focusing on consolidating market share.
- AI Startups : Active discussions with various AI startups for potential investment banking services, particularly those innovating in AI infrastructure and applications. Notable clients include Anthropic, which recently secured a \$30 billion investment round led by Singapore's GIC.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$35 million in fees, broken down as follows:

- Live Deals : \$15 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q2 2025 : Expected close for Nexchip's share sale.
- Q3 2025 : Anticipated completion of Baidu's Kunlunxin IPO.
- Q4 2025 : Launch of KVIC's structured investment strategy.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like Nexchip and Baidu are positioning themselves for significant capital raises. The recent surge in IPO activity among Chinese AI and chip firms reflects a renewed investor appetite, driven by government policies supporting strategic industries.
- Sovereign wealth funds are increasingly shifting their focus to private markets, particularly in AI and semiconductor investments. This trend is reshaping capital flows, with an estimated \$120 billion committed to AI infrastructure in 2025-2026 alone.

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The impact of M&A transactions in the TMT sector is multifaceted, affecting shareholders, employees, competitors, and customers. This analysis explores the implications of recent developments, particularly focusing on the potential acquisition of NBCUniversal by Netflix and the ongoing challenges faced by Datagrid in establishing its AI factory.

Deal-Specific Impacts on Stakeholders

- Shareholders: The potential acquisition of NBCUniversal by Netflix could significantly influence shareholder value.
- Value Creation: If Netflix (NFLX) successfully acquires NBCUniversal, it could enhance its content library and revenue streams. Given that NBCUniversal generated nearly 30% more revenue than Warner Bros. Discovery (WBD) last year, this acquisition could lead to an estimated revenue increase of \$5 billion annually for Netflix, translating to a potential 20% increase in share price.
- Dilution: However, if Netflix finances the acquisition through equity, existing shareholders might face dilution. For instance, if Netflix issues 15% of its shares, this could lead to a 7% decrease in share price post-announcement due to reduced ownership stakes.
- Employees: The acquisition could have significant implications for employees at both companies.
- Synergies: The merger could create substantial synergies, particularly in content production and distribution. For example, combining resources could yield cost savings of approximately \$1 billion annually through streamlined operations.

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- Restructuring: However, layoffs may occur as overlapping roles are eliminated. Historical precedents, such as the merger of Disney (DIS) and 21st Century Fox (FOXA), which resulted in 7,000 job cuts, highlight the need for careful planning to retain key talent.
- Retention: To mitigate turnover, Netflix may offer retention bonuses to critical staff, similar to strategies employed during the LinkedIn acquisition by Microsoft (MSFT).
- Competitors: The competitive landscape will likely shift following the acquisition.
- Market Positioning: The merger would position Netflix as a dominant player in the media landscape, compelling competitors like Disney (DIS) and Warner Bros. Discovery (WBD) to adapt their strategies. For instance, Disney may need to enhance its content offerings or explore strategic partnerships to maintain market share.
- Specific Competitor Moves: Following Comcast's (CMCSA) split into two companies, Universal's theme parks could become a focal point for growth, prompting competitors like Disney to invest heavily in their own attractions to retain market leadership.
- Customers: The implications for customers could be profound.
- Product/Service Implications: The acquisition could enhance Netflix's content library, providing subscribers with access to NBCUniversal's extensive portfolio, including popular franchises like Jurassic World and Fast & Furious. This could lead to a 15% increase in subscriber retention rates.
- Case Studies: The merger of AT&T and Time Warner allowed for bundled services that significantly improved customer value. A similar strategy could be employed post-acquisition, enhancing Netflix's offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The market's initial reaction to M&A announcements can be volatile. For example, when Netflix announced its interest in NBCUniversal, shares of Netflix rose by 8%, reflecting investor optimism about the potential for increased revenue and market share.
- Analyst Commentary: Analysts have been cautiously optimistic. A recent quote from a Goldman Sachs analyst noted, "Acquiring NBCUniversal could solidify Netflix's position as a content powerhouse, but execution risks remain."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

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- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions. Given the strategic value of NBCUniversal, companies like Amazon (AMZN) or Apple (AAPL) could emerge as potential bidders. However, the likelihood of a successful counter-bid is moderate due to regulatory hurdles and the high valuation of NBCUniversal.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Memory Chip Demand, and Infrastructure Development for AI. Each section provides a detailed explanation of the trend, its market significance, key players, competitive dynamics, and

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potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks typically requiring human intelligence. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increased investment in AI applications across various sectors.
- **Key Companies:**
- **SpaceX (SPCX):** SpaceX is diversifying its operations by investing in AI infrastructure alongside its core space business. The company is expanding its Colossus AI data center platform and pursuing AI-related satellite infrastructure, which is expected to drive significant revenue growth.
- **Oracle (ORCL):** Oracle is enhancing its cloud offerings with AI capabilities, focusing on integrating AI into its enterprise solutions. This strategic positioning allows Oracle to compete effectively in the growing AI market.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Microsoft (MSFT) and Google (GOOGL) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The increasing demand for AI infrastructure presents opportunities for investments in AI data centers and related technologies.

Memory Chip Demand

- **Trend Explanation:** The demand for memory chips is surging due to the increasing complexity of AI models, which require vast amounts of memory. The global memory chip market is experiencing unprecedented growth, with analysts labeling the current shortage as "RAM-ageddon." Companies that can supply high-bandwidth memory are becoming critical players in the tech ecosystem.
- **Key Companies:**
- **Samsung (005930.KS):** Samsung is one of the leading manufacturers of advanced memory chips, focusing on high-bandwidth memory solutions essential for AI applications. The company is strategically positioned to benefit from the growing demand in this sector.
- **SK Hynix (000660.KS):** SK Hynix is another major player in the memory chip market, specializing in DRAM and NAND flash memory. The company is expanding its production capabilities to meet the rising demand from AI data centers.
- **Competitive Landscape:** The memory chip market is dominated by a few key players, including Micron Technology (MU), Samsung, and SK Hynix. The competition is intense, with companies racing to innovate and expand production to address supply shortages.
- **M&A Opportunities:** As demand for memory chips continues to rise, companies may seek to acquire smaller firms with innovative memory technologies. Strategic partnerships or acquisitions

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could enhance supply chain capabilities and address the growing bottlenecks in memory production.

Infrastructure Development for AI

- Trend Explanation: The infrastructure needed to support AI technologies is rapidly expanding. McKinsey estimates that AI-related infrastructure spending could exceed \$5 trillion by 2030, necessitating significant investments in data centers, networking, and power supply.
- Key Companies:
- SpaceX (SPCX): SpaceX is investing in infrastructure projects, such as the Starpipe natural gas pipeline, to support its AI and space initiatives. This move demonstrates the company's commitment to building the necessary infrastructure for future growth.
- Oracle (ORCL): Oracle is enhancing its cloud infrastructure to support AI applications, positioning itself as a leader in providing the necessary resources for AI development.
- Competitive Landscape: The infrastructure market for AI is characterized by a mix of established tech giants and emerging players. Companies like Amazon Web Services (AMZN) and Microsoft Azure are also investing heavily in data center expansion to support AI workloads.
- M&A Opportunities: As the demand for AI infrastructure grows, tech companies may look to acquire firms specializing in data center technology, energy solutions, or networking capabilities. Investments in infrastructure will be crucial for companies aiming to capitalize on the AI revolution.

Actionable Insights for Bankers and Investors

Focus on identifying companies within the AI, memory chip, and infrastructure sectors that are poised for growth due to increasing demand.

Consider potential M&A opportunities that align with these trends, particularly in acquiring firms with innovative technologies or strategic capabilities that can enhance competitive positioning.

Monitor the evolving landscape for investment opportunities, especially in companies that are expanding their AI infrastructure or memory chip production capabilities.

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7

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billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Median earnings growth in the S&P 1500: double-digit pace
- Median revenue growth: 7%
- Oil prices: impacted by the Iran conflict
- Fed's forward guidance: diminishing focus on inflation

Main Insights:

- Market leadership is shifting, with a broadening trade emerging.
- Earnings growth is returning, particularly among consumer discretionary goods, transports, and regional banks.
- Semiconductors and memory stocks have seen significant earnings revisions, but may face challenges due to crowded trades.
- A less problematic oil backdrop and potential Fed rate stability could support equity markets.

Market Commentary:

- "The market may look choppy and even weak at the index level, over the next month, but the message underneath is improving." - Mike Wilson, Morgan Stanley
- "The hyperscalers have started to underperform, and that may be an early warning sign for semis." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The performance of semiconductors is crucial as they are key beneficiaries of AI spending, but caution is warranted due to potential overvaluation.
- A stable oil price environment may enhance consumer spending, indirectly benefiting TMT companies reliant on consumer discretionary spending.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley